

Seminar Quiz 5

The Economy

Sciences Po Paris - Reims

15 minutes. No extra papers. You are free to use calculators.

Exercise 1

Consider an economy with taxes in the Keynesian model:

$$Y = c_0 + c_1 Y_d + I + G$$

Government spendings and investments add up to \$800, fixed consumption is \$300 and the collected tax is \$200. We also know that the total GDP amounts to \$2,000.

1. Calculate the multiplier for this economy (we assume taxes are proportional to income i.e. $T = tY$).
(3 points)

2. Draw the aggregate demand for this economy along with the $Y = AD$ line. Show what would happen if the MPC were to decrease. Show how this would affect the multiplier using the formula. (2 points + 1 point for good labeling)

Exercise 2

1. Consider an economy where there is high inflation. The central bank wants to intervene and control the inflation. What type of monetary policy would they follow? Draw a supply and demand graph for the loan market to explain your reasoning. (2 points)

2. Steven wants to attend college but he doesn't have money to pay for the tuition, which is \$10,000. He decides to take on a student loan for two years. If the interest rate on this loan is 10%, how much will he have to pay back in **total** after two years? (2 points)